SCHEDULE VNM-A

VIRTUAL NET ENERGY METERING FOR MULTIFAMILY AFFORDABLE HOUSING

APPLICABILITY

Optionally available to Qualified Customers as defined in Special Condition (SC) 4, owning, renting, or leasing in Multi-Family Affordable Housing Accommodations as defined in SC 3, where the Owner of the complex has installed a solar "eligible customer-generator" with generating capacity of 1 megawatt (MW) or less, as defined in Schedule NEM and Public Utilities (PU) Code Section 2827, and contracts with the Utility to have all eligible output from the generator supplied to the Utility for the purpose of providing a credit to the Qualified Customers within the complex. The terms of this rate schedule shall apply to any Qualified Customer that is designated by the Owner on a Solar Generation Credit Allocation Request Form, unless the customer provides written notification to the Utility declining to receive a credit. Virtual Net Energy Metering (VNM) facilitates cost savings for Owners by avoiding the installation of an eligible customer-generator on each individual dwelling unit, and also provides Qualified Customers with the benefits that would otherwise be provided under Net Energy Metering (NEM). Owners that install an eligible customer-generator for the purpose of VNM-A may be eligible for additional up-front incentives (see SC 11).

This schedule shall be available to eligible customer-generators, upon request, on a first-come-first-served basis until the earlier of July 1, 2017 or when SDG&E reaches its NEM program limit, or until all funds available for incentives have been allocated. Pursuant to Assembly Bill 327, PU Code Section 2827(c)(4)(B)(i), SDG&E will reach its program limit when the combined total peak demand of all electricity used by eligible customer-generators in SDG&E's service area, furnishing net energy metering to eligible customer-generators, receiving service under Schedules NEM, NEM-V and VNM-A, exceeds 5% of SDG&E's aggregate customer peak demand. Aggregated customer peak demand is defined for this purpose as the highest sum of all SDG&E's customers' non-coincident peak demands that occurs in any calendar year. In accordance with Public Utilities Code Section 2827(c)(4)(B)(i), SDG&E's program limit may not be less than 607 MW of nameplate generating capacity available to eligible customer-generators. Customers who have completed and submitted the required interconnection-related documentation to SDG&E prior to the date SDG&E reaches its NEM program limit or July 1, 2017, whichever is earlier, are subject to the transition provisions as provided in Special Condition 7. This Schedule will be closed to new customers on the earlier of when SDG&E reaches its program limit or July 1, 2017. SDG&E will provide service under a successor tariff to this Schedule, which will be developed pursuant to PU Code Section 2827.1(b), for eligible customer-generators who: (1) complete the required interconnection documentation after SDG&E reaches its program limit or July 1, 2017, whichever is earlier; or (2) are eligible for the transition period, but elect to take service under the successor tariff.

Accounts not fully utilizing energy allocated to them under this schedule may be eligible for additional compensation at the conclusion of their Relevant Period as described in Special Condition 8.e.

Service on this rate schedule must be taken in combination with the Qualified Customer's otherwise applicable rate schedule (OAS). VNM-A Customers are not eligible to take service under SDG&E Schedule DR-SES.

All Qualified Customers are permitted to participate in demand response or emergency reliability programs For which the customer is otherwise eligible. N N

TERRITORY

Within the entire territory served by the Utility.

(Continued)

SCHEDULE VNM-A

VIRTUAL NET ENERGY METERING FOR MULTIFAMILY AFFORDABLE HOUSING

RATES

The Qualified Customer Bill as determined under SC 9c. is applicable, less Customer's Allocated Credit.

SDG&E rates and rate design, including the rates and rate design reflected in this Tariff, are subject to change from time to time. Customers should take this into consideration when making any long term decisions based on rate structures that are currently in place.

SPECIAL CONDITIONS

1. Definitions: The Definitions of terms used in this schedule are found either herein or in Rule 1.

2. Treatment of Generation: Eligible customer-generators that are installed and utilized in providing service under terms of this rate schedule shall be treated as though they were installed and utilized under terms of Schedule NEM, unless otherwise specified herein.

3. Affordable Housing Multi-Family Accommodations: Per PU Code Section 2852, is multi-family housing that meets at least one of following criteria:

   a) Residential housing financed with low-income housing tax credits, tax-exempt mortgage revenue bonds, general obligation bonds, or local, state, or federal loans or grants, and for which the rents of the occupants who are lower income households, as defined in Section 50079.5 of the Health and Safety Code, do not exceed those prescribed by deed restrictions or regulatory agreements pursuant to the terms of the financing or financial assistance.

   b) A residential complex in which at least 20 percent of the total units are sold or rented to lower income households, as defined in Section 50079.5 of the Health and Safety Code, and the housing units targeted for lower income households are subject to a deed restriction or affordability covenant with a public entity that ensures that the units will be available at an affordable housing cost, as for the purpose of VNM-A, this definition also includes New Solar Homes Partnership (NHSP)-eligible Affordable housing as defined in Public Resource Code Section 25401.6.

4. Qualified Customer: Is a customer that is receiving service on a rate schedule that would be applicable to a similar customer receiving service in combination with Schedule NEM and meets one of the following conditions:

   a) is located on the same property as the Owner's eligible customer-generator and is physically connected to the same Service Delivery Point (as defined in Rule 16) as the Owner's eligible customer-generator, or;

   b) is located on the same property as the Owner's eligible customer-generator, and is physically connected to a different Service Delivery Point, where the Owner is a Multifamily Affordable Solar Housing Program participant.

   The Qualified Customer definition shall extend to Owner for the purpose of billing common use areas and unoccupied units.

5. Owner: The Enterprise, or Entity, that owns the Multi-Family Affordable Housing Accommodations.

(Continued)

SCHEDULE VNM-A

VIRTUAL NET ENERGY METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

6, Property: All of the real property and apparatus employed in a single low income housing enterprise on contiguous parcels of land. These parcels may be divided by a dedicated street, highway or public thoroughfare or railway, so long as they are otherwise contiguous, part of the same single low income housing enterprise, and all under the same ownership.

7. Generator Interconnection Responsibility: To be eligible for VNM-A service, the Owner shall have an effective interconnection agreement with the Utility and have submitted a Solar Generation Credit Allocation Request to the Utility. In addition, the Owner shall have paid all costs associated with the Utility installing a Generator Output Meter capable of recording in 15 minute increments, any wiring, trenching, conduit, or other facility costs incurred by the Utility to interconnect with the Owner's eligible customer-generator adjusted based on Rule 2 factors for a one-time payment. The location of the customer's Generator Output Metering equipment shall be approved by the Utility, and will normally be grouped with the service and metering equipment for one, or more, of the tenant or house meters.

   If there is any load behind the Generation Output Meter in addition to incidental load related to the operation of the eligible customer-generator, SDG&E reserves the right to require, at the Owner's expense, the purchase and installation of metering equipment necessary to determine the total generation and total usage at the interconnection point. Such usage shall be billed as a common area account to ensure that all eligible generation output is allocated and that netting only occurs after credits have been allocated.

8. Solar Generation Credit Allocation Request Form (Form 142-02768): A form completed by the Owner that designates how the Energy Delivered, as defined in SC 9a., will be allocated among the tenants and common use of the complex. Except as permitted under Special Condition 12, The NGOM should record the generation intended for the benefit of all the Benefitting Accounts, which will be allocated in accordance with Special Condition 9 (Billing Process). The initial Owner-designated percentage split between common use and tenants shall become effective on the regularly scheduled monthly meter read date closest to the date on which the form is received by the Utility and will remain in effect for a minimum of five years. The designated allocation between tenant units shall remain in effect for a minimum of twelve months. The Owner may submit an updated form to revise these allocations at any time thereafter. These additional adjustments must also remain effective for at least twelve months. Modified Solar Generation Credit Allocation Request Forms shall become effective on the first regularly scheduled monthly meter read date that is at least 15 days following receipt by the Utility.

   The Owner shall bear responsibility for ensuring that the percent allocations for individual Qualified Customers are based on the relative size of the tenant's unit, consistent with the manner in which affordable housing rents are established. Each tenant unit in the complex must receive a percent allocation of the total tenant-designated credit. Credit that is allocated to a particular unit, but not applied to a Qualified Customer's bill due to occupant nonparticipation or unit vacancy (no active account) will be retained by the Utility.

   Vacant Units: Residential or nonresidential vacant units may have a zero percent allocation form the renewable electrical generation facility (Generation Facility) when the vacation unit is between tenancies and at the request of the generating account customer or the Generation Facility owner. If a "Designated Account" has been assigned, then the allocated percentage benefit will be transferred to that "Designated Account" based on the process outlined in this tariff.

   When the customer of record for a Benefitting account in a VNM-A Arrangement changes, the new customer of record will take service under this schedule in accordance with the allocated percentage provided previously for the Benefitting Account in the VNM-A Arrangement with no action being required for the new customer. N N N

(Continued)

SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

9. Billing Process: The following billing process shall be used. L

a) Energy Delivered: The metered output, delivered to the grid, as recorded by the Generator Output Meter and validated by the appropriate Utility billing processes during the specific billing period.

b) Allocation of Credit: Monthly allocated Credits for common areas and Qualified Customers are determined by multiplying the monthly Energy Delivered (kWh) by the percentages contained in the Solar Generation Credit Allocation Request Form on file with the Utility, and then converting each kWh credit to dollars using the Qualified Customer's OAS.

c) Qualified Customer Bill: The OAS for each Qualified Customer, adjusted to conform to the conditions set forth in Schedule NEM. Qualified Customers served under this schedule are responsible for all charges from their OAS including monthly billed minimum charges, customer charges, meter charges, facilities charges, energy and demand charges, excluding any adjustments due to power factor provisions. Applicable demand charges are defined in the OAS.

d) Virtual Net Energy Metering and Billing: VNM means measuring the difference between the electric energy supplied by the Utility to Qualified Customers and the electric energy generated by an eligible customer-generator, fed to the electric grid, and credited to Qualified Customers over a 12-month period (Relevant Period).

At the end of each Relevant Period following the Qualified Customer's date of SDG&E's written authorization for the eligible customer-generator's parallel Operation with SDG&E's electrical system, the Qualified Customer shall be billed for net electric energy used during that period. If a Qualified Customer terminates service under this rate schedule prior to the end of any Relevant Period, the Utility shall reconcile the customer's consumption of electric energy with any remaining credit, and bill the customer as if it were the end of the normal Relevant Period. L

(1) For an OAS with Baseline Rates:

If the Qualified Customer is a net consumer for the month, the net kWh consumed shall be billed in accordance with the Qualified Customer's OAS. If the Qualified Customer is a net generator, the net kWh generated shall be valued at the applicable baseline rates up to the billing period's baseline allowance, with any excess kWh generated valued at the applicable non-baseline rates.

(2) For an OAS with Time-of-Use Rates

If the Qualified Customer is a net consumer during any discrete TOU period, the net kWh consumed shall be billed at the applicable TOU rates charged in the OAS. If the Qualified Customer is a net generator, the net kWh generated shall be valued at the applicable TOU rates charged in the OAS.

(Continued)

SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

e) Assembly Bill 920: Pursuant to Assembly Bill (AB) 920, starting January 1, 2011, a NEM customer with "net surplus electricity" (all electricity generated by an eligible customer measured in kilowatt-hours over a 12-month period that exceeds the amount of electricity consumed by that eligible customer), is eligible to receive net surplus compensation (NSC), valued pursuant to D.11-06-016. If a customer has not generated excess kWhs, the customer is not eligible for NSC. L

f) Compensation for net surplus energy: Per AB 920, SDG&E will compensate NEM customers with solar generation of less than 1 MW or wind generation less than 50 kW, with excess kWhs at the end of their relevant period, for both the value of the electricity and the value of the renewable attributes. The utility will compensate qualifying NEM customers for net surplus generation by the following formula:

NSC = Value of Electricity + Value of Renewable Energy Credits (if applicable)

(i) Value of the Electricity -

Value of Electricity = Net surplus kWhs x DLAP price

The utility will use SDG&E's Default Load Aggregation Point (DLAP) price as the basis for the net surplus compensation rate (adopted in D.11-06-016). DLAP reflects the costs the utility avoids in procuring power during the time period net surplus generators produce excess power. L

This rate is the simple rolling average of SDG&E's DLAP price from 7 a.m. to 5 p.m. corresponding to the customer's 12-month relevant period. The rolling average will be calculated on a monthly basis and be applied to all customers with a relevant period in the following month.

The utility uses a full 12 months of DLAP prices, as published on the CAISO Open Access Same-time Information System (OASIS), ending the twentieth (20th) day of each month. The utility then calculates the net surplus compensation rate within five days of the first of the month to allow the CAISO to finalize the day-ahead DLAP prices. This rate is applied to all eligible net surplus generators, irrespective of their rate class. This rate will be updated monthly and is available at www.sdge.com/NEM.

(ii) Value of Renewable Energy Credits –

Value of Renewable Energy Credits = Net surplus kWhs x Average Renewable Premium

The California Energy Commission (CEC) has determined the eligibility of net energy metering customer facilities for the Renewables Portfolio Standard (RPS) and developed an ownership verification and tracking process for Renewable Energy Credits (RECs) created by net surplus generators, which is set forth in the CEC's RPS Eligibility Guidebook, available at: http://www.energy.ca.gov/renewables/documents/#rps

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SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

f) Compensation for Net Surplus Energy (Continued)

The Utility will include an Renewable Attribute Adder (RAA) with the NSC rate if the eligible customer has: (1) certified ownership of RECs associated with his net surplus generation and provides this certification to the Utility; (2) obtained RPS certification from the CEC for his renewable electrical generation facility and provides this certification to the Utility; and (3) transfers the ownership of the RECs associated with his net surplus electricity to the Utility using the Western Renewable Energy Generation Information System (WREGIS). To effectuate these requirements, Customers requesting Utility compensation for the RAA must complete the Net Energy Metering Renewable Energy Credits Compensation Agreement (Form 182-1000). L

The renewable attribute adder will be calculated using the most recent Western Electricity Coordinating Council (WECC) average renewable premium, based on United States Department of Energy (DOE) published data. The renewable attribute adder will only be paid to those net surplus generators who provide RECs to the Utility. This rate will be updated annually and is available at: http://www.sdge.com/nem. L

D.11-06-016 requires NEM customers who elect to receive NSC to notify the utility that they are Qualifying Facility exempt from certification filing at the Federal Energy Regulatory Commission (FERC). Since all NEM customer-generators have certified to SDG&E that they are generating facilities with net power production capacities of 1 MW or less, and thus currently meet the requirements for a qualifying facility exempt from certification filing at FERC by being under 1 MW (under FERC Order 732), SDG&E requires no additional documentation at this time.

Eligible customers have the option to carry over NSC to future 12-month periods (as a bill credit) or can elect a monetary payment, if the amount is greater than one dollar ($1). Payments for NSC will be reduced by any amount the customer owes to the utility.

g) Greenhouse Gas Allowance Revenue Return: For customers eligible under Schedule GHG-ARR, volumetrically-based California (CA) Climate Credits will net when customers generate. Checks issued to NEM customers electing an off-bill payment for Net Surplus Compensation will incorporate any remaining CA Climate Credits.

10. Monthly Billing: The Utility shall provide Qualified Customers with eligible customer-generator production and individual consumption information with each regular monthly bill. The information shall include the current monetary balance owed to the Utility for the net energy consumed in the current Relevant Period. Qualified Customers shall pay any balance due for net energy consumed monthly. Any remaining credit over a monthly billing cycle shall be carried over to the following monthly billing period, until the end of the Relevant Period.

    Qualified Customers shall not be eligible for the Level Pay Plan option set forth in Rule 9.

(Continued)

SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

11. Generator Limitation: Except as permitted under Special Condition 12, no generator shall be included behind the above-described Generator Output Meter other than a Solar Generator.

12. Behind the Meter Isolated Operation: The Eligible Generator can be operated in isolation to provide backup/standby services to one or more Benefitting Accounts during a grid outage or testing periods. All loads served during isolation mode should have the same Point of Common Coupling as the Generating Account. During isolated operation, participating accounts must be configured such that no load or generation is registered on the Generating or Benefitting Account meters. Prior to installing a new Eligible Generator or reconfiguring an existing Eligible Generator to provide backup services, the Owner or Operator must receive written approval from SDG&E confirming that the reconfiguration of the Eligible Generator complies with SDG&E's electrical and interconnection requirements for the requested reconfiguration.

    Planned or Emergency Outages: During planned or emergency outages, operation in isolation of REGF and storage is permitted to serve onsite loads as described in this SC. N N

13. Multifamily Affordable Solar Housing (MASH) Installation Incentives: D.08-10-036 established a $108 million solar incentive program for MASH. Under the approved incentive structure, an Owner may obtain an up-front rebate for the installation of a qualifying solar energy system, based on an estimate of system performance using the Expected Based Buydown (EPBB) methodology. Pursuant to D.11-07-031, owners will receive $1.90 per watt for systems offsetting common use and $2.80 per watt for systems offsetting tenant load. An installation may receive both incentive levels if it will offset both common area and tenant load. These incentives will be apportioned in accordance with the Owner's initial five-year allocation.

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SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

14. Pursuant to Public Utilities Code Section.2827(c)(2), any customer with an existing electrical generating facility and meter who enters into a new net energy metering contract (for example, form 142-02760.5 Interconnection Agreement For Virtual Net Energy Metering for Multifamily Affordable Housing (VNM-A) Solar Electric Generating Facilities) shall complete and submit a copy of form 142-02763 – NEM/VNMA Inspection Report to SDG&E, unless the electrical generating facility and meter have been installed or inspected within the previous three years. The NEM/VNM-A Inspection Report (Form 142-02763) shall be prepared by a California licensed contractor who is not the owner or operator of the facility and meter. A California licensed electrician shall perform the inspection of the electrical portion of the facility and meter and sign the NEM / VNM-A Inspection Report (Form 142-02763). If an inspection is required, the customer shall submit the fully completed NEM/VNM-A Inspection Report (Form 142-02763) to SDG&E within 90 days of the of the customer becoming the customer of record at this account, or else the customer agrees to disconnect their Generating Facility and inform SDG&E it no longer will take service under schedule NEM or VNM-A. By signing the Interconnection Agreement, the NEM/VNM-A Inspection Report (Form 142-02763) shall be incorporated into the Interconnection Agreement. T L

15. Transition Provisions: This Special Condition applies to all customers who are receiving service on this Schedule on the earlier of July 1, 2017 or when SDG&E reaches it program limit. T

    a) 20-Year Transition Period

    Pursuant to Decision 14-03-041, customers who are receiving service on this Schedule on the earlier of July 1, 2017 or when SDG&E reaches its program limit are eligible to continue receiving service on this Schedule for a period of 20 years from the original year of interconnection of the renewable electrical generating facility, which is indicated by and measured from the date on which the customer receives the Authorization To Operate in Parallel (ATO) letter from SDG&E. The date of the ATO letter indicates the year in which a system was interconnected for purpose of the transition. Eligible customers that complete a NEM interconnection application, including the final building inspection, prior to SDG&E reaching its program limit or July 1, 2017, whichever is earlier, will be eligible for the transition period once they receive their ATO letter, even if the ATO date is after SDG&E reaches its program limit or July 1, 2017. L

    The transition period will commence on the date of the ATO letter and will conclude on the date SDG&E completes the annual billing true-up at the end of the Relevant Period (true-up date) following the 20 years.

    Customers receiving service under this Schedule have the ability to transition to the successor tariff before the end of their transition period, if they choose to do so. Customers who elect to move to the successor tariff prior to the expiration of their 20-year transition period may not later move back to this Schedule and forfeit continued eligibility for the transition period.

    After the 20-year transition period is realized, customers will move onto the successor tariff and this Schedule will be closed to those customers.

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SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

15. Transition Provisions (Continued)

b) Modifications

Renewable electrical generating facilities that are modified or repaired prior to the earlier of July 1, 2017 or when SDG&E reaches its program limit shall remain eligible for the remainder of the original transition period, as measured by the ATO date of the original renewable electrical generating facility.

Modifications or repairs that occur after the earlier of July 1, 2017 or when SDG&E reaches its program limit that increase the system's generation by more than the greater of 10% of the renewable electrical generating facility's capacity at the time the customer receives the ATO letter or 1 kW, not to exceed a total generation capacity of 1 MW, and are sized to meet but not exceed the customer's annual onsite load, may either choose to meter the additions separately under the successor tariff or elect for the whole renewable electrical generating facility to take service under the successor tariff.

If a current NBT-V REGF owner adds a storage device without any other modifications to its generating unit, there is no impact to the Generating Facility's current tariff status, including the legacy period. N N N

c) Transferability

Renewable electric generating facilities eligible for the 20-year transition period shall not lose eligibility if transferred to a new owner, operator, or utility account at the original location. Transfer of an existing renewable electrical generating system to a new location would require a new interconnection agreement and would not qualify for the 20-year transition period after the implementation of the NEM successor tariff.

d) Treatment of Energy Storage Systems

To the extent the eligible energy storage systems are granted interconnection exemptions under this Schedule, they will be treated in the same way, and subject to the same 20-year transition period, as the underlying renewable electrical generating facilities to which they are connected.

16. Temporary Applicability Limitation for Schedule VNM: All customer accounts in a single Aggregated Arrangement where the customer elects to take service in combination with a TOU rate must be served on the same TOU rate structure (i.e., a three-period structure with an on peak period of 4:00p.m to 9:00p.m. or, if the solar system is eligible for TOU grandfathering, 11:00a.m. to 6:00p.m.). If the Aggregated Arrangement includes a meter served under an agricultural rate then all Qualified Customers in the arrangement must be served under three-period TOU rate structure with an 11:00a.m. to 6:00p.m. on-peak period. These limitations will apply until such time that SDG&E has developed the system capability to accommodate multiple TOU rate structures in a single Aggregated Arrangement.

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SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued) L

17. VNM-A Paired Storage is defined as an energy storage device paired with a renewable electrical generating facility that meets the Renewables Portfolio Standard Guidebook[1] (RPS Guidebook) requirements to be classified as an "addition or enhancement", as described below, that is equipped with a physical, non-import relay or a functionally equivalent non-import configuration, as described in SDG&E's Electric Distribution System Interconnection Handbook. T

    a) Types of VNM-A Paired Storage

    The RPS Guidebook establishes two categories of energy storage that may be considered an addition or enhancement to a renewable electrical generation facility: "integrated" and "directly connected" storage.

    (i) Integrated Storage: Integrated Energy Storage is defined as a method of storing energy from a renewable energy resource that is integrated into the renewable electrical generating facility as part of the generation process. For example, in order to be defined as integrated, a battery based storage device must be capable of storing energy from only the renewable electrical generating facility.

    (ii) Directly Connected: Directly Connected Storage is defined as being both: (i) directly connected to the renewable electrical generating facility via an internal power line (i.e., power may not be transmitted from the renewable facility to the energy storage via an external distribution line) and (ii) the storage device must be operated as part of the renewable electrical generating facility.

    b) VNM-A Paired Storage Interconnection Cost Responsibility

    VNM-A Paired Storage will be subject to the same interconnection cost responsibility as the renewable electrical generating facility that it is paired with. In the event the storage device is added at a date later than the date permission to operate the renewable electrical generating facility was issued, the customer will be required to pay the same interconnection fees and costs that the renewable electrical generation facility would be required to pay, as provided for in Electric Rule 21.

1. www.energy.ca.gov/renewables/documents/index.html#rps L

SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

18. Prevailing Wage

California Public Utilities (PU) Code 769.2 requires a contractor that installs a Renewable Electrical Generation Facility (REGF) or associated battery storage to comply with prevailing wage requirements in order for the facility to participate in a tariff developed pursuant to PU Code Section 2827 or 2827.1. These requirements are stated in PU Code 769.2 and in case of any discrepancy between tariff language and the PU Code, the language in the PU Code prevails.
The requirements are:

1 - The contractor shall pay each construction worker employed, at minimum, the general prevailing rate of per diem wages, except that an apprentice registered in a program approved by the Chief of the Division of Apprenticeship Standards shall be paid, at minimum, the applicable apprentice prevailing rate.

2 - The contractor shall maintain and verify payroll records pursuant to Section 1776 of the Labor Code and make those records available for inspection and copying as provided in that Section. The contractor shall not be required to provide copies of certified payroll records to any entity other than the Department of Industrial Relations or the California Public Utilities Commission (Commission). Pursuant to Decision 23-11-068 the contractor may also be required to provide these records to any entity that the Commission designates to act on its behalf to implement this requirement.

3 - The contractor shall biannually, on July 1 and December 31 of each year, submit to the Commission digital copies of its certified payroll records for projects. Contractors may submit their records on a voluntary basis more often than the biannual requirement stated in PU Code 769.2. The contractor's submission of payroll records is a condition to access tariffs developed pursuant to PU Code Section 2827 or 2827.1 for a customer REGF subject to PU Code Section 769.2. T N N

The requirements of PU Code Section 769.2 do not apply to projects with a complete interconnection application submission date before January 1, 2024. If a customer or contractor provides documentation confirming that the facility that they are applying for was built on or before December 31, 2023, the prevailing wage requirements will not apply to that project. All projects with an interconnection application submission date on or after January 1, 2024, including applications to modify an existing REGF, are subject to the PU Code 769.2 requirements with the following exceptions: T N T

1 - A residential REGF that has a maximum generating capacity of 15 kilowatts or less of electricity.
2 - A residential REGF that is installed on a single-family home.
3 - A project that is a public work, as defined in Section 1720 of the Labor Code, and that is subject to Article 2 (commencing with Section 1770) of Chapter 1 of Part 7 of Division 2 of the Labor Code.
4 - A REGF that serves only a modular home, a modular home community, or multiunit housing that has two or fewer stories.

a. Modular Home: Modular home, although better constructed, is like manufactured home (as defined in the California Health and Safety Code) where both are constructed offsite. Unlike manufactured home, modular home must meet the same local or state building codes as an on-site home. Modular home does not have the requirement to have a wheeled chassis permanently attached. N
b. Modular Home Community: A community with two or more Modular Homes. N

(Continued)

SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

18. Prevailing Wage

If PU Code 769.2 applies, the customer must execute the **Prevailing Wage Disclosure Form (142-02783)** and submit the form with their interconnection application, and customer's contractor shall confirm to SDG&E that it is up to date with their past required submittals of payroll records.

If customer's contractor has been found to have willfully violated PU Code 769.2 in connection with the construction of customer's REGF, *that facility* shall not be eligible to receive service pursuant to a tariff developed based on PU Code Sections 2827 or 2827.1. Only in the case of multi-tariff configuration, where there is more than one generator behind the same utility billing meter (renewable or not), SDG&E will treat all the generators as one system and therefore none of the renewable generators will be served on tariffs developed based on PU Code Section 2827 or 2827.1, and those renewable generators will be compensated based on PURPA compliant tariff, regardless which facility is subject to the violation of PU Code 769.2. T N | N

If a willful wage violation is alleged, the customer's REGF will remain on the tariff until the Department of Industrial Relations (Department) or a court completes their assessment and makes a final determination. At that time, if the contractor is found in willful violation, then SDG&E will be required to remove the customer's REGF implicated by the violation from the applicable NEM/NBT tariffs and transition the Customer to the PURPA compliant tariff on the next billing cycle (after the required 30/60-day notification). Pursuant to Decision 23-11-068, a customer's single generating account with no benefitting/aggregated account will get a 30-day notice. Customers' single generating account with benefitting/aggregated accounts will get a 60-day notice. While on the PURPA compliant tariff, the REGF will be compensated based on that tariff and the REGF may be subject to Departing Load and Standby charges (if applicable), as the REGF is no longer served under the applicable NEM/NBT tariffs. The customer's REGF billing meter will be trued up before transitioning to the PURPA compliant tariff and any credits remaining after true-up will be forfeited. If the customer's REGF is enrolled in a virtual tariff all benefiting/aggregated accounts will also lose their credits.

If the violation occurs on a single generating account and there are no benefitting/aggregated account(s), SDG&E will notify the Customer at least 30 days in advance of automatically transitioning the customer's REGF on their next billing cycle to a PURPA compliant tariff.

If the violation occurs on a single generating account with benefitting/aggregated account(s) SDG&E will notify the Customer(s) at least 60 days in advance of automatically transitioning the customer's REGF on their next billing cycle to a PURPA compliant tariff.

If a willful wage violation is reversed or nullified by the determining body and the generation account holder or Customer/property owner provides documentation to the utility evidencing such reversal/nullification, then the REGF will be able to regain access to the appliable NEM/NBT tariff as of the next billing cycle after the reversal of the willful wage violation.

Beginning January 1, 2025, contractors who have been found in violation of the prevailing wage rule in PU Code Section 769.2 will not be permitted to apply to interconnect facilities utilizing tariffs established pursuant to PU Code sections 2827 or 2827.1.

SCHEDULE VNM-A

VIRTUAL NET METERING FOR MULTIFAMILY AFFORDABLE HOUSING

SPECIAL CONDITIONS (Continued)

19. Plug-in Electric Vehicle (PEV) Submetering

Per Decision 22-08-024, customers participating in PEV Submetering, where electricity is furnished for PEV charging, are not eligible for Schedule VNM-A.

20. Virtual Dual-Tariff (VDT) N

The Virtual Dual Tariff (VDT) is applicable to a Benefitting Account that installs an additional generator behind the SDG&E customer meter while still being part of a virtual arrangement. Pursuant to Resolution E-5374, VDT arrangements are intended to primarily provide resiliency. The VDT is not offered for the generating account of the virtual arrangement; it is only available to the benefitting accounts.

Rule 21 Non-Export Generating Facility

The eligible VDT customer Rule 21 non-export system must meet all applicable safety, and performance standards established by the National Electrical Code, the Institute of Electrical and Electronics Engineers, and accredited testing laboratories such as Underwriters Laboratories and, where applicable, rules of the California Public Utilities Commission regarding safety and reliability.

There is no limit on the number of such VDT customers per VNM-A arrangement or network. The VDT is not offered for the generating account of the virtual arrangement; it is only available to the benefiting accounts.

VDT customers must install at their cost, or the property owner's cost, any necessary equipment to prevent the non-export Generating Facility from exporting to the grid in accordance with Rule 21 non-export requirements. A SDG&E approved physical non-export relay or a functionally equivalent non export configuration that meets the requirements of Rule 21 to prevent the system from exporting to the grid is permitted.

Virtual Dual-tariff customers with access to VNM-A and a non-export system(s) will follow VNM-A Net Surplus Compensation rules.

Legacy period: the Rule 21 non-export system will not alter the original VNM-A legacy period.

Non-bypassable Charges (NBC): VDT customers will pay for all the applicable NBCs based on all their usage from the grid in accordance with their Otherwise Applicable Schedule (OAS).

Standby (Schedule S) and departing load (Schedule CGDL-CRS): Rule 21 generators are subject to Standby and departing load charges.

Billing Service Charges – An eligible VDT customer shall remit one time service charges of $25.00 per Dual-tariff Account. These set-up fees may not be charged for tenancy changeovers and shall be limited to no more than $500 per Property. N